development schemes of states. With the Centre acting as a virtual clearing house of good state development schemes, states fell trapped to a one-size-fits-all concept. Gradually, they became implementers of only CSSs.

CSSs required considerable counterpart funding from the budgets of state governments, which consumed an increasingly larger proportion of their Plan resources. There was another practice that made deeper inroads in their fiscal independence. After every five years, the Plan expenditure liabilities of CSSs were transferred to the non-Plan expenditure budget of state governments. Together, past and present CSS-related expenditures took away a big part of the development spending of states.

The debt financing of states by the Centre, by way of granting loans as part of NCA, transferring multilateral and bilateral loans and grants on the pattern of NCA and small savings loans, made states indebted to the Centre. The dominance of these loans and the systemic need to raise more loans in the race to increase Plan size to be approved by the Planning Commission made states the subordinates of the Centre. CSSs enabled the Centre to take over the development functions allocated to states as per the state list of the Seventh Schedule. By the turn of the millennium, the fiscal relationship between the Centre and the states had changed fundamentally. India had predominantly become a fiscal union.

NDA Initiates Process of Restoring Fiscal Federalism

The finances of states had deteriorated immensely by the year 2000. Excessive borrowings had made their debt servicing obligations go up sharply. The interest payment-to-revenue ratio routinely exceeded 20 per cent. Large expansion of state employees, especially in the education and health sectors (largely reflecting expenditures of previous Plans), bloated salary and pension bills. The Pay Commission award in 1997 was turned into a large giveaway by a weak Central government. This modified award dealt a crippling blow to state finances. The expenditure of states on